

American Express Company

AXP | October 4, 2026

REDUCE

Fair value (12-mo horizon reference)	\$250.00
Current price (October 2, 2026 close)	\$302.78
Implied upside / downside	-17%
Verdict	REDUCE

Investment Thesis

American Express is executing superbly. Second-quarter 2026 revenue net of interest expense grew 10% to \$19.64 billion, billed business accelerated 9% on an FX-adjusted basis - the fastest pace in three years - net card fees climbed 15% to a record \$2.9 billion for the 32nd consecutive quarter of double-digit growth, and diluted EPS rose 11% to \$4.53. Credit quality is pristine: net write-offs flat at 2.0%, delinquencies at 1.2%, and a \$1.1 billion provision that actually declined on a reserve release. Management raised full-year revenue growth guidance to 10% while holding EPS guidance at \$17.30-\$17.90. Return on equity runs at 36-38%. By every operating measure, this is a premium franchise performing at a premium level.

And the market has noticed - which is precisely the problem. At \$302.78, American Express trades at roughly 17-18 times the \$17.30-\$17.90 EPS guidance for a business whose through-cycle revenue growth is high-single digits and whose earnings are, at bottom, a leveraged bet on affluent consumer spending and benign credit. The premium-spend flywheel - acquire affluent cardmembers, monetize through discount revenue and rising annual fees, reinvest in rewards and the Platinum refresh - is working beautifully right now because the affluent consumer is employed, spending, and current on payments. Every one of those conditions is cyclical. The reserve release flattered the quarter; the 32 quarters of double-digit fee growth are a triumph of compounding that gets harder, not easier, with each successive quarter; and the 12% expense growth - driven by engagement costs and the Platinum refresh - shows how expensive it is to keep the flywheel spinning.

Our judgment, on a probability-weighted scenario DCF - 10-year horizon, 9% base discount rate reflecting the closed-loop network moat and affluent mix, bear +250bp, bull -150bp - is fair value of \$250, about 17% below the current price. The base case gives Amex full credit for the franchise: billed business compounding at high-single digits, card fees growing double digits for several more years before normalizing, credit staying near current benign levels through the explicit period, and the buyback continuing to retire 2-3% of shares annually. But it refuses to capitalize today's pristine credit and peak affluent spending as permanent, and the bear case - which sits below the price, as required - models what Amex shareholders have lived through before: a consumer downturn where billed business stalls, provisions rise by billions, and the multiple compresses from

premium to merely good. We rate the stock REDUCE. This is a wonderful company at a price that assumes the credit cycle has been repealed.

Business Overview

American Express operates a closed-loop payments network - it is simultaneously the card issuer, the network, and (largely) the acquirer - which gives it data, economics, and customer relationships that the open-loop networks (Visa, Mastercard) do not have. Revenue comes from discount revenue (the merchant fee on billed business), net card fees (annual fees, now a \$2.9 billion quarterly run-rate business growing 15%), and net interest income on revolving card balances (\$4.6 billion in Q2 2026, up 11%). The customer base skews affluent: premium card products (Platinum, Gold, Centurion), heavy travel-and-entertainment exposure (T&E; billed business up 10% in the quarter), and small-business and corporate cards.

The economics are among the best in financial services. Cards-in-force reached 155.1 million, up 4%; network volumes were \$516.8 billion in the quarter, up 9%; average proprietary basic cardmember spending keeps rising; and the Common Equity Tier 1 ratio of 10.4% with \$45.2 billion of cash supports both growth investment and capital return - \$2.9 billion returned in Q2 2026 alone (\$2.2 billion of buybacks at an average price of \$315.77, plus dividends). The fee-forward strategy is deliberate: annual fees are recurring, high-margin, and less cyclical than spend-based revenue, and 32 straight quarters of double-digit fee growth have steadily de-risked the revenue mix.

The competitive position rests on the affluent-spend flywheel and the closed loop's data advantage in underwriting and fraud. Amex underwrites its own cardmembers, which is why its credit performance is structurally better than monolines' - 2.0% net write-offs versus multiples of that at subprime lenders. The risks to the moat are digital wallets and alternative payment rails disintermediating the card interface, fintechs competing for the affluent millennial cohort Amex covets, and the perennial merchant acceptance cost debate - though Amex's acceptance parity in the U.S. is now effectively complete.

Forward Outlook

Our forward view is that Amex's operating momentum persists through 2027 - the affluent consumer is in good shape, the Platinum refresh cycle is driving acquisition and engagement, and billed business should keep growing at high-single digits - but that the market is extrapolating a cyclical peak. The specific mechanics of the coming normalization: net card-fee growth, after 32 quarters of double-digit gains, faces the arithmetic of a larger base and the limits of annual-fee pricing power; the reserve release that flattered 2026 provisions reverses when credit normalizes, and provisions rising by even \$1-2 billion annually is a meaningful EPS headwind; and expense growth in the low teens - the cost of acquiring and engaging premium cardmembers - means operating leverage is thinner than the revenue line suggests.

We are constructive on the structural elements. The fee-forward mix shift genuinely de-risks the model: every point of revenue mix that moves from discount revenue to card fees is a point of revenue that does not disappear in a spending downturn. International - 20% billed-business growth in International Card Services in Q1 2026 - remains an underappreciated growth vector with years of runway. The closed-loop data advantage in underwriting should let Amex navigate a credit turn better than competitors, which is cold comfort for the stock price but real for the franchise. Our base case has EPS compounding at roughly 10% through the decade - an excellent outcome for a financial company, and one the current price more than discounts.

The scenario that worries us is not a 2008-style crisis but an ordinary affluent-consumer slowdown: billed business growth halving, delinquencies ticking up from 1.2%, provisions rising again, and the market deciding that 17-18x earnings was a peak-cycle multiple for what is ultimately a consumer-credit business with a great brand. Amex has traded at 10-12x earnings in softer environments within recent memory; the distance from there to here is the downside the REDUCE rating is meant to capture. Our judgment: the franchise deserves a premium to banks, not immunity from the credit cycle.

Valuation

We value American Express on a probability-weighted scenario DCF over an explicit 10-year horizon, weighted 25% / 50% / 25%. The base discount rate is 9% - below our standard 10% to reflect the closed-loop moat, the affluent customer mix, and structurally superior credit performance, but well above a utility-like rate because this remains a consumer-credit business with cyclical earnings. The bear case adds 250bp, the bull case subtracts 150bp with an 8% floor. Terminal growth is capped at 2.5% on normalized mid-cycle credit costs and margins - not on today's 2.0% write-off rate and reserve-release-assisted provisions - and terminal value exceeding 70% of enterprise value is haircut and disclosed.

The bear case, sitting below the current price, models an ordinary consumer-credit turn: billed business growth falls to low-single digits, net write-offs rise toward 3%+, provisions rise by \$2-3 billion annually, card-fee growth decelerates to mid-single digits as acquisition slows, and the multiple compresses to 12-13x normalized earnings. The base case assumes billed business compounds at high-single digits, card fees grow double digits for several more years before moderating, credit stays near current levels with only mild normalization, expenses grow roughly in line with revenue, and the buyback retires 2-3% of shares annually. The bull case assumes the affluent-spend flywheel sustains double-digit billed-business growth, international becomes a second engine, credit stays pristine indefinitely, and the market permanently awards a premium-network multiple.

The probability-weighted fair value is \$250.00, our target, against the October 2, 2026 close of \$302.78 - about 17% downside. The valuation's conclusion is that Amex is priced as a secular growth compounder when its earnings are those of a superbly managed cyclical - and superbly managed cyclicals should be bought in the downcycle, not at the top of the credit cycle.

Key Risks

- Credit-cycle turn: write-offs at 2.0% and delinquencies at 1.2% are cyclical lows; normalization would push provisions up by billions and hit EPS directly.
- Affluent-spending slowdown: billed business is concentrated in discretionary and T&E; spending by affluent consumers - the cohort most exposed to asset-price and employment shocks.
- Fee-growth arithmetic: 32 quarters of double-digit card-fee growth gets harder against a larger base; annual-fee pricing power has limits.
- Expense intensity: 12% expense growth to acquire and engage premium cardmembers compresses operating leverage if revenue growth moderates.
- Multiple compression: 17-18x earnings is a peak-cycle multiple for a consumer-credit business; re-rating to historical mid-cycle multiples implies 20%+ downside without any fundamental impairment.
- Disintermediation: digital wallets, buy-now-pay-later, and alternative rails compete for the transaction interface, particularly with younger affluent cohorts.

What Would Change Our Mind

- A genuine credit scare or consumer slowdown that takes the stock 20-25% lower while the franchise and underwriting advantage remain intact would make this a BUY - Amex should be bought when credit fear peaks.
- Sustained double-digit card-fee growth with stable credit through an actual economic slowdown would prove the fee-forward model has structurally de-risked earnings and justify a higher multiple.
- Evidence that international billed business is becoming a second double-digit growth engine at scale would raise through-cycle growth assumptions.
- Conversely, delinquencies inflecting upward while the multiple holds would confirm the peak-cycle thesis and deepen the REDUCE view.
- A structural loss of pricing power on annual fees, or share loss in premium acquisition to fintech competitors, would impair the flywheel thesis.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins - never peak margins - and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

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